

really as bad as the press reports made it sound. Also, the Marriott family was retaining 25 percent ownership in Host Marriott.

I also discovered that Host Marriott provided tremendous leverage. It was expected to trade at about \$3 to \$5 per share with debt of about \$20 to \$25. For illustration, assuming a share price of \$5 and a debt of \$25 would imply the assets of the new company would be worth about \$30. The low share price relative to the company value meant a 15 percent increase in value of the assets would nearly double the value of the stock. Of course, leverage could work the other way, but the upside potential was lopsided relative to the downside risk—the stock can't go below zero. Also, given the large insider ownership, I didn't think it was likely that the deal would be structured for Host Marriott to fail. In addition, the deal required that Marriott International, the "good" Marriott, extend a \$600 million line of credit to Host Marriott.

What ultimately happened?

As expected, most institutions dumped their shares at a low price. The stock then nearly tripled in four months.

Can you give me another example of a special situations trade that illustrates your approach?

In the early 1990s, Wells Fargo, which had an excellent long-term, consistent fee-generating business, came under a lot of pressure because of its high concentration of commercial real estate loans in California, at a time when California was in the midst of a deep real estate recession. There was a possibility, although unlikely, that the real estate downturn could be so severe that Wells Fargo would go through all its equity before investors could get the benefit of their long-term fee generation. If it survived, though, the stock would likely be much higher than its current depressed price of \$80, which reflected the prevailing concerns. The way I looked at the risk/reward of the stock was that it was a binary situation: The stock would go down \$80 if Wells Fargo went out of business and up \$80 if it didn't. But by buying LEAPS with more than two years until expiration instead of the stock, I could turn that 1:1 risk/reward into a 1:5 risk/reward. If the bank survived, the stock should be a double, and I would make five times my money on the options, but if it failed, I would